

# Valuation Method Selection Framework

A structured decision logic for choosing between DCF, DDM, NAV, SOTP, and Relative Valuation based on business model, data quality, ownership structure, and cyclicality.

|                  |                                                           |
|------------------|-----------------------------------------------------------|
| SCOPE            | Indonesian listed equities, non-financial and financial   |
| GATES EVALUATED  | 6 sequential checkpoints, business model to output sanity |
| PRIMARY METHOD   | FCFF / WACC discounted cash flow                          |
| FALLBACK METHODS | DDM, NAV, SOTP, Relative Valuation                        |

- 01 DCF (FCFF/WACC)
- 02 DDM
- 03 NAV
- 04 SOTP
- 05 Relative Valuation

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# Why method selection matters

These five methods are not competing alternatives to be averaged together. Each has a domain where it is structurally correct and domains where it produces a confident-looking number that has no economic meaning. The most common valuation error is forcing one method, usually DCF because it looks the most rigorous, onto a company where its core assumptions do not hold.

The logic below is ordered from the most fundamental gate (what kind of business is this) down to finer checks (data quality, ownership structure, life-cycle stage, and output sanity). A company should pass through every gate in sequence; failing a gate does not always mean rejection, sometimes it means the primary method changes, and sometimes it means a second method is required alongside the first.

**Reading this document.** Gates 0 through 4 determine which method should be used as the *primary* valuation. Gate 5 is applied after a DCF has already been computed, to catch cases where the output itself signals an assumption problem that the earlier gates did not catch.

## GATE 0 BUSINESS MODEL

The first and most fundamental question: how does this company make money, and does the concept of "operating free cash flow" even apply.

| CONDITION                                                   | METHOD                                                      | WHY                                                                                                                                                                                                             |
|-------------------------------------------------------------|-------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Bank, insurance, multifinance, securities firm              | DDM or Excess Return / Residual Income                      | Debt is raw material (deposits, premiums) for a financial institution, not a financing choice. Capex and working capital carry no comparable economic meaning. Enterprise Value is not well defined for a bank. |
| REIT or property company with a large investment asset base | NAV (Revalued Net Asset Value)                              | Value is driven by the market value of the assets held (land, buildings), not by a single year of operating cash flow. Rental income is a derivative of asset value, not the other way around.                  |
| Mining, oil and gas, or plantation with finite reserves     | NAV / Reserve-based (sometimes combined with per-asset DCF) | These assets have a finite life, reserves eventually deplete. A perpetual growth DCF is structurally wrong because it assumes the business grows forever.                                                       |
| Holding company with multiple, dissimilar business lines    | SOTP (Sum of the Parts)                                     | Each subsidiary carries a different risk, growth, and margin profile. Collapsing all of them into one WACC and one projection hides or destroys value.                                                          |
| Non-financial, single business line, going concern          | FCFF / WACC DCF → proceed to Gate 1                         | This is the domain where DCF is most valid.                                                                                                                                                                     |

## GATE 1 DATA ELIGIBILITY

Applied once a company has passed Gate 0 as a DCF candidate. Failing here does not always mean abandoning DCF outright, it means DCF needs a supplement or cannot be relied on alone.

| GATE                    | REQUIREMENT                                                                   | IF IT FAILS                                                                                                                                                                                                      |
|-------------------------|-------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Filing history          | At least 4 years of annual statements                                         | Newly listed or commissioning-stage companies lack representative historical growth or margin data → <b>fall back to forward Relative Valuation</b> (forward P/E or EV/EBITDA against mature peers)              |
| Operating profitability | EBIT positive in at least 2 of the last 3 years                               | Chronic operating losses mean DCF requires a highly speculative long-run margin normalisation assumption → <b>EV/Sales or Price/Sales</b> , since earnings-based multiples do not apply to loss-making companies |
| Capital structure       | $D/(D+E) \leq 80\%$ , Net Debt/EBITDA $\leq 6x$ , interest coverage $\geq 1x$ | Extreme leverage makes WACC highly sensitive and the residual equity value small and unstable → <b>DCF proceeds but a Relative Valuation cross-check becomes mandatory</b> , not optional                        |
| Equity base             | Positive shareholders' equity                                                 | Negative equity breaks the WACC weighting entirely → <b>EV-based multiples</b> (not P/E or P/BV, both require positive equity)                                                                                   |

## GATE 2 OWNERSHIP STRUCTURE

Tests whether non-controlling interest is large enough that a consolidated DCF bridge stops being representative.

| NCI / EQUITY | METHOD                                                                      | WHY                                                                                                                                      |
|--------------|-----------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| $\leq 15\%$  | FCFF / WACC DCF, proceed normally                                           | Minority share is small enough that the book-value bridge for NCI is reasonably representative.                                          |
| 15% – 40%    | DCF, with mandatory SOTP cross-check                                        | The book-value bridge for NCI is starting to plausibly diverge from the subsidiary's real economic value.                                |
| $> 40\%$     | SOTP becomes the primary method; consolidated DCF is a rough reference only | At this level the consolidated DCF is likely directionally wrong, because a partly-owned subsidiary dominates the group's overall value. |

GATE 3 CYCLICALITY CHARACTER

Distinguishes companies whose revenue is volume-driven from companies whose revenue is priced off a mean-reverting global commodity cycle.

| CONDITION                                                                             | METHOD                                                                                                                        | WHY                                                                                                                                  |
|---------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| Revenue driven by unit volume, relatively stable (consumer, manufacturing, retail)    | FCFF / WACC DCF, growth from historical median + $RR \times ROIC$ as usual                                                    | Revenue is genuinely predictable from the company's own historical data.                                                             |
| Revenue driven by a global commodity price that mean-reverts (coal, nickel, CPO, oil) | NAV / reserve-based as primary, DCF as a comparison with an explicit long-run price deck rather than historical extrapolation | Historical revenue growth blends volume and price effects. Extrapolating a cyclical peak or trough as a trend is structurally wrong. |
| Newly commissioned / ramping asset, under 3 years of steady-state data                | Forward Relative Valuation (forward EV/EBITDA at target capacity, against mature peers)                                       | Historical ROIC and reinvestment rate are distorted, capex has already been spent at scale while revenue has not yet caught up.      |

**Why this gate exists.** A commodity miner's historical revenue growth being negative usually reflects a price decline from a prior cycle peak, not a structural loss of volume or customers. Extrapolating that decline, or forcing a flat industry-average growth rate on top of it, both misrepresent what is actually happening to the business.

GATE 4 LIFE-CYCLE STAGE

A finer layer on top of Gate 3, relevant even for non-commodity companies.

| STAGE                                                                                                | PRIMARY METHOD                                                                                | SECONDARY METHOD                                                                                              |
|------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| <b>Pre-revenue / early growth</b><br>No earnings yet, small but fast-growing revenue                 | EV/Sales or Price/Sales                                                                       | DCF with a very long explicit horizon and a high discount rate; results tend to be unstable, use with caution |
| <b>High growth, pre-profit</b><br>Large revenue, EBIT still negative but margin improving            | EV/Sales against comparable peers, plus DCF with an explicit margin fade to a long-run target | Forward P/E once profitability is reasonably visible, typically 2–3 years out                                 |
| <b>Mature, stable, predictable</b><br>Low-to-moderate growth, stable margin, consistent positive FCF | FCFF / WACC DCF                                                                               | Relative valuation (P/E, EV/EBITDA) as a sanity check against peers                                           |
| <b>Decline / turnaround</b><br>Shrinking revenue, under restructuring                                | P/BV, or NAV if the asset base is substantial                                                 | DCF is too sensitive to a speculative recovery assumption to stand alone                                      |

GATE 5 OUTPUT SANITY CHECK

Applied after a DCF has already been computed. A company can pass every gate above and still produce an unreliable number once specific assumptions combine.

| CONDITION                                                                                             | ACTION                                                                                                                                                                                                         |
|-------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Upside > 100% or downside > 50% versus market price                                                   | Rating is overridden to <b>Review Required</b> . Point to SOTP, NAV, or Relative Valuation as a cross-check rather than presenting the DCF figure as a standalone conclusion.                                  |
| Terminal Value > 80% of Enterprise Value                                                              | The DCF is still shown but flagged clearly. It should be paired with an implied exit-multiple check or a Relative Valuation cross-check, since the valuation rests almost entirely on a perpetuity assumption. |
| Implied exit EV/EBITDA falls well outside the company's own historical range or the sector peer range | Signals that WACC or terminal growth assumptions are out of sync with observable market pricing. Cross-check against EV/EBITDA relative valuation.                                                             |

## Decision flow, top to bottom

The sequence below collapses all six gates into a single path. A company moves down the list until it settles on a primary method; later gates can still attach a mandatory secondary method even after a primary one is assigned.

1. Financial institution? -> DDM / Excess Return
2. REIT / property investment vehicle? -> NAV
3. Holding company with NCI > 40%? -> SOTP
4. Mining / commodity, price-driven revenue? -> NAV / reserve-based, DCF as comparison
5. History < 4 years / commissioning stage? -> Forward Relative Valuation
6. Chronic operating losses? -> EV/Sales or Price/Sales
7. Negative shareholders' equity? -> EV-based multiple (not P/E, not P/BV)
8. Extreme leverage? -> DCF + mandatory Relative Valuation cross-check
9. Passes all checks above -> FCFF / WACC DCF as primary method
10. DCF computed, check upside and TV-dependency:
  - > extreme result: "Review Required", point to SOTP / NAV / Relative Valuation
  - > reasonable result: DCF stands as the primary recommendation,  
still paired with Relative Valuation as a second check

**Relative Valuation is never fully optional.** Even when a DCF is valid and clears every gate, it should not stand completely alone. The implied exit EV/EBITDA that a terminal value calculation always produces is, in effect, an automatic bridge back to relative valuation, it exists precisely so that a DCF result can be checked against how the market actually prices similar businesses.

## When each relative multiple applies

Relative valuation is sometimes treated as a lesser method, used only when DCF fails. In several conditions it is actually more valid than DCF, not a fallback from it.

### P/E · Price to Earnings

USE WHEN earnings are stable and there is a clear peer group to compare against.  
AVOID WHEN earnings are negative or highly volatile.

### P/BV · Price to Book Value

USE WHEN valuing financial institutions and other asset-heavy businesses (property, prior to a full NAV build), or a distressed/turnaround company where earnings are unreliable but the asset base still holds value.

### EV/EBITDA · Enterprise Value to EBITDA

USE WHEN comparing companies with different capital structures within the same sector, since it sits above interest and tax. This is also the standard cross-check for a DCF's implied exit multiple.

### Price/Sales and EV/Sales

USE WHEN valuing pre-earnings or early-stage companies, sectors where margins vary too widely across peers for an EBITDA multiple to be comparable, or when earnings are distorted by one-off items.

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